

Ticker: SKE CN **Cash:** C\$69m **Project:** Eskay Creek
Market cap: C\$482m **Price:** C\$6.39/sh **Country:** Canada, BC
REC. (unc): BUY **TARGET (+80c):** C\$13.25/sh **RISK RATING (unc):** HIGH

The DFS is a beat on our estimates, highlighting a mid-life expansion to 3.7Mtpa for only C\$40m additional capex well covered by FCF and increased build capex very much still manageable in our view. Over the last 12M, the capex lift reduced the like-for-like NPV by the same ~C\$100m, with losses on grade offset by Y6 expansion, and similarly production flat as expanded mill offsets lower grade. This flows through to AISC down by 7%, with this coming from big drops in processing and G&A cost even through inflation (and small creep in mining cost to US\$2.83/t, about bottom end of acceptable). Net net, the IRR / payback still remarkable here. Updating to match the DFS inputs lifts our previous C\$1,632m NAV_{5%-1850} to C\$1,953m for Eskay—an impressive +20% beat. Updating cash and shares for the recent financing, **we maintain our BUY rating and lift our PT from C\$12.45/sh to C\$13.25/sh 0.6xNAV multiple and 105m fully-funded fully diluted share count.** With the stock trading at 0.26xNAV, the interplay between funding, value and dilution is key. The current strategy to secure debt approvals around year end but ~2Y prior to permitting, facilitating equity / streaming in CY23 to commence construction under a bulk sample permit would be excellent. Debt lenders sadly aren't known for being user friendly though. Nonetheless, as exemplified by Sabina and G Mining, issuers have increasing flexibility on streams, lender-equity and other hybrid deals, hence we do see a nice fallback to a simple equity / stream deal next year to fund early works. For now, our FF FD share count is only an approximation of course.

Table 1. Summary production and valuation metrics against 3Q22 PEA and SCP old/new estimates

	SKE			SCP				SKE			SCP		
Eskay Creek (100%)	PFS	DFS	Δ%	Old	New	Δ%	Eskay Creek (100%)	PFS	DFS	Δ%	Old	New	Δ%
Mining inventory (000t)	26.4	29.9	13%	26.4	29.9	13%	G&A cost (US\$/t)	6.23	4.18	-33%	6.9	4.18	-39%
AuEq grade (g/t)	4.6	4.0	-12%	4.6	4.0	-13%	LOM C1 costs (US\$/oz AuEq)*	509	571	12%	569	575	1%
Ag % of revenue (%)	34%	25%	-26%	21%	19%	-11%	LOM AISC (US\$/oz AuEq)*	548	651	19%	611	654	7%
Mining inventory AuEq (000oz)	3,880	3,850	-1%	3,898	3,854	-1%	Net / gross revenue (%)	-	-	-	76%	80%	5%
Strip ratio (x)	8.0	7.5	-6%	8.0	7.5	-6%	Total build capex (C\$m)	488	592	21%	537	592	10%
Au recovery (%)	84.2%	84.2%	0%	84.2%	84.2%	0%	Sustaining / exp'n capex (C\$m)	139	180	30%	139	180	30%
Ag recovery (%)	87.3%	88.3%	1%	87.3%	88.3%	1%	Closure liability (C\$m)	92.4	138	49%	92.4	138	50%
LOM avg throughput (Mtpa)	2,696	3,323	23%	2,642	3,323	26%	Gold price (US\$/oz)	1,550	1,700	10%	1,850	1,850	0%
Production AuEq Y1-5 (000oz pa)	450	431	-4%	431	448	4%	Silver price (US\$/oz)	22.0	19.0	-14%	24.0	24.0	0%
Production AuEq LOM (000oz pa)	352	349	-1%	331	362	9%	Project NPV post-tax (C\$m)	1,399	1,412	1%	1,632	1,953	20%
Mining cost (US\$/t)	3.58	3.72	4%	3.94	3.72	-6%	IRR post-tax (%)	56%	50%	-10%	52%	54%	6%
Processing cost (US\$/t)	18.22	16.90	-7%	20.0	16.90	-16%	Payback (years)	1.40	1.00	-29%	1.00	1.25	25%

Source: SCPe, *Mine costs, and all concentrate costs included (transp, penalt, TC/RC etc)

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Eskay DFS shows C\$1.4bn NPV_{5%-1,700} / 50% IRR, quick 1-year payback & ~350koz pa AuEq prod.

DFS: Processing updated reserves of 3,850koz @ 4g/t AuEq, the DFS sees +13% throughput to >3Mtpa for 349koz pa AuEq over the 2.7Mtpa / 431koz pa PFS LOM, with C\$40m expansion planned to 3.7Mtpa from 3Mtpa in Y6. With inflation, build capex lifts to C\$592m (+21%). A reduced strip ratio of 7.5:1 (from 8:1 PFS), combined with mining / processing / G&A costs of C\$3.72/t, C\$16.90/t and C\$4.18/t, respectively, drives US\$651/oz AISC, for an after-tax C\$1,412m NPV_{5%-1700} and 50% IRR, one year payback, vs the 2021 PFS (C\$450m NPV) net of build capex. **Next steps** will see (i) optimization on resource / mine planning, (ii) incorporation of the recently discovered 23 and 21A West Zones into the mine plan for an extended mine life, (iii) additional vendor metallurgical test work, (iv) review of the diversion tunnel for possible cost reduction, and (v) MRE update and permitting. **Raise:** last week Skeena undertook a C\$30m bought deal at C\$6.05/sh. C\$17m of this will be used to pay Barrick C\$17.5m trailing payments. The residual will be used to fund permitting and G&A through CY23 at which point a build finance is targeted.

Our view: DFS is a beat on SCP estimates

Against SCPe: The DFS is a beat on our estimates overall, hence our PT lift. The key delta being the throughput expansion to 3.7Mtpa mid-life to offset drop in grade, lifting LOM production to 3.3Mtpa /

362koz pa AuEq vs our prior 2.6Mtpa / 331koz pa AuEq estimates. On costs, we previously modelled +10-15% on capex and opex to capture inflation, but still need a 10% lift here on build capex, while the expansion capex added C\$40m to our estimates. Also, capex now includes a water diversion tunnel to divert a creek over 1.2km. Operating costs saw some improvement, driving US\$654/oz (+7%), driving a +20% lift in our modelled NPV to C\$1,953m discussed in more detail below. Unit costs are generally aggressive compared to producing peers in light of recent inflation.

On inventory: The global resource saw modest changes, now at 5.6Moz @ 3.4g/t AuEq (96% M&I) +17% on tonnes, -15% on grade. Similarly the reserve ounces remain roughly unchanged at 3.9Moz albeit slightly lower grade on +13% lift in tonnes. While not in reserves, the UG resource saw an impressive +25% lift in ounces to 279koz @ 5.2g/t AuEq on good conversion to M&I as well. We highlight these changes below in Table 2, including changes to constraints: gold price, top cuts, and block sizes. Changes are substantial, with a change in modelling method, lifting of top cut, dropping of UG cut-off, and lifting in metal price assumptions, offset by larger blocks and more broad compositing.

Table 2. Resources / reserves 'New vs Old' summary

	Tonnes (000t)	AuEq (g/t)	AuEq (000oz)	Au / Ag (%)	M&I (%)		New (1Q22)	Old (2Q21)
Eskay 1Q22 MRE						Methodology	OK / ID2	OP: OK
Pit global resource	49,928	3.20	5,329	78 / 22	97%	Parent block (m)	OP: 10x10x5m; UG: 3x3x2m	OP: 9x9x4m; UG: 3x3x2m
Δ to 2Q21 (%)	+16%	-23%	-2%	72 / 28	+1%	SMU block (m)	5 x 5 x 2.5m pit, 1x1x1 UG	3 x 3 x 2m pit, 1x1x1 UG
UG global resource	1,617	5.23	279	81 / 19	85%	Composite (m)	OP: 2.5m, UG: 1m	OP: 2m, UG: 1m
Δ to 2Q21 (%)	+26%	-3%	+25%	88 / 12	+21%	Top-cut (g/t)	4.5-600g/t Au; 25kg/t	2-650g/t Au; 25kg/t Ag
Global resource	51,545	3.38	5,608	76 / 24	96%	Cut-off (g/t)	OP: 0.7g/t AuEq	OP: 0.7g/t AuEq
Δ to 2Q21 (%)	+17%	-15%	-1%	73 / 27	+2%		UG: 2.4g/t AuEq LH 2.8g/t AuEq DF	UG: ~2.6g/t AuEq
3Q22 DFS LOM	29,911	4.12	3,850	75 / 25		Pit shell price (US\$/oz)	US\$1,700/oz Au US\$23.00/oz Ag	US\$1,615/oz Au US\$21.85/oz Ag
Source: Skeena, SCP						Holes / meters (m)	8,409 / 766,799	8,334 / 756,072

Processing / TCRC / Payability: With a bond work index of 24kWh/t from 22 Zone later in life, processing / capacity will be some 50% worse than on early years ore averaging 14kWh/t, offset by a coarse grind to >100µm (100-212µm in the release) with 15-35µm regrind. Offtake terms aren't disclosed for the 35g/t concentrate, with economics based on preliminary contract terms / draft term sheets, on which 86% (+2% vs. PFS) / 80% (-3% from PFS) payability was modelled for gold and silver, respectively. **LOM penalties** dropped considerably from SCPe C\$74m down to ~C\$50m. With moisture up from SCPe 10% to 13%, and grade down from 45g/t to 35g/t, we expect treatment charges would be expected to rise but these were not disclosed. We previously C\$146/t transport costs, which we now lower to C\$140/t to match the PFS.

Buffer, inflation and future funding: the updated 3Q22 FS for Eskay puts capex at C\$592m, we then assume an additional ~C\$17.5m to buy back the royalty from Barrick and C\$28m of central G&A (the downside of a longer build and complex logistics), and C\$47m of inventory, includes SCPe finance + C\$32m working capital. This takes total uses of cash to C\$669m. With 2Q22 cash plus recent \$30m financing, we estimate pro-forma cash of C\$89m, plus debt @ 65% gearing and equity at 0.6xNAV (currently trading at 0.3xNAV) gives sources of C\$680m for a C\$11m buffer—includes C\$46.6m contingency to absorb inflation. Although given flexibility on anything from exploration spend, permitting timeline, to divestments and alternative financing such as silver streaming, this is only an approximation for now.

Table 3. SCPe Eskay Project capital sources and uses

Funding: uses			Funding: sources	
	Build Capex	C\$592m	Pro-forma cash (2Q22 + rse)	C\$89m
	SCPe G&A to 1st Au + NSR buyback	C\$45m	Mine debt @ 65% gearing	C\$385m
	SCPe pre-production expl'n	C\$0m	Mine build equity at 0.6xNAV	C\$207m
	SCPe finance costs + wkg cap	C\$32m	Total proceeds	C\$680m
	Total uses	C\$669m	Buffer	C\$11m
*Cash from options expiring pre first pour				

Source: SCP estimates

Valuation update: maintain our BUY rating and lift PT from C\$12.45/sh to C\$13.25/sh

We model the DFS as filed on Sedar and arrive at C\$1,499m NAV (vs. C\$1,412m published) with similar inputs, including the C\$17.5m payment for 0.5% NSR buyback from Barrick. The Eskay Creek property currently has a total 2.0% NSR outstanding. Lifting the gold / silver prices to US\$1,850/oz / US\$24/oz takes this to C\$1,953m 1xNAV (+20% higher from previous). From there, we add value for Snip and resources outside reserves at US\$75/oz and US\$50/oz respectively, then add cash to arrive at a group NAV of **C\$2,232m NPV_{5%-1850}** before G&A / finance costs. With the stock trading at 0.24xNAV, the interplay between funding, value and dilution is key; as such **we maintain our BUY rating and lift our forward looking PT from C\$12.45/sh to C\$13.25/sh** based on 0.6xNAV multiple and 105m fully-funded fully diluted share count.

Table 4. 2 (A) SOTP asset-only NPV and NAV (no gearing / finance costs / G&A) and (B) sensitivities

SOTP project valuation*					Asset value: 1xNPV project @ build start (C\$m, ungeared)*					
	C\$m	O/ship	NAVx	C\$/sh	Project NPV (C\$m)*	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz
Ungeared proj. @ build start (3Q22)	1,953	100%	1.00x	23.63	10.0% discount	1,594	1,727	1,860	1,993	2,125
Pro-forma cash (2Q22 + rse)	69	100%	1.00x	0.84	7.5% discount	1,811	1,959	2,108	2,256	2,404
Cash from options	58	100%	1.00x	0.71	5.0% discount	2,065	2,232	2,399	2,566	2,733
Rsr ex rsv @US\$50/oz	88	100%	1.00x	1.06	Ungeared project IRR:	51%	54%	57%	60%	63%
Snip (US\$75/oz)	64	100%	1.00x	0.77	Project NPV (C\$/sh)*	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz
Asset NAV5% C\$1850/oz	2,232			27.0	10.0% discount	19.3	20.9	22.5	24.1	25.7
*Shares diluted for options but not mine build				Market P/NAV5% _{3Q22} 0.24x	7.5% discount	21.9	23.7	25.5	27.3	29.1
					5.0% discount	25.0	27.0	29.0	31.1	33.1

*Project level NPV, excl finance costs and central SG&A, discounted to build start

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, and DFS optimizations in coming 12M

Catalysts

- 2023: permitting updates
- 3Q23: SCPe build start
- CY26: SCPe first production
- 2H22: Exploration and AWF infill / expansion drilling

Research

Brock Salier (London) M: +44 7400 666 913 bsalier@sprott.com

Eleanor Magdzinski (Toronto) M: +1 705 669 7456 emagdzinski@sprott.com

Konstantinos Kormpis (Toronto) M: +1 778-957-3623 kkormpis@sprott.com

Ticker: SKE CN Author: B Salier/ E Magdzinski		Price / mkt cap: C\$6.39/sh, C\$482m Rec / 0.6xNAV PT: BUY, C\$13.25/sh		Project PNAV today: 0.28x 1xNAV3Q22 FF FD: C\$23.08/sh		Asset: Eskay Creek / Snip Country: Canada: BC						
Commodity price		CY18A	CY19A	CY20A	CY21A	CY22E	Resource / Reserve	AuEq (koz)	AuEq (g/t)			
Gold price		1,850	1,850	1,850	1,850	1,850	Pittable resource	5329koz	3.20g/t			
SOTP project valuation*							Underground resource	279koz	5.23g/t			
		C\$m	O/ship	NAVx	C\$/sh		Snip	646koz	13.60g/t			
Ungeared proj. @ build start (3Q22)		1,953	100%	1.00x	23.63		Funding: uses			Funding: sources		
Pro-forma cash (2Q22 + rse)		69	100%	1.00x	0.84		Build Capex	C\$592m	Pro-forma cash (2Q22 + rse)	C\$89m		
Cash from options		58	100%	1.00x	0.71		SCPe G&A to 1st Au + NSR buyback	C\$45m	Mine debt @ 65% gearing	C\$385m		
Rsr ex rsv @US\$50/oz		88	100%	1.00x	1.06		SCPe pre-production expl'n	C\$0m	Mine build equity at 0.4xNAV	C\$207m		
Snip (US\$75/oz)		64	100%	1.00x	0.77		SCPe finance costs + wkg cap	C\$32m	Total proceeds	C\$680m		
Asset NAV5% C\$1850/oz		2,232			27.0		Total uses	C\$669m	Buffer	C\$11m		
*Shares diluted for options but not mine build		Market P/NAV5% 3Q22				0.24x	*Cash from options expiring pre first pour					
Share data						Ratio analysis						
Basic shares (m)		75.5	FD with build equity raise			104.6	Average shares out (m)	92.4	71.1	99.4	102.8	102.8
FD with options (m)		82.6										
Asset value: 1xNPV project @ build start (C\$m, ungeared)*												
Project NPV (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	CFPS (C\$/sh)	-	-	-	-	-
10.0% discount		1,594	1,727	1,860	1,993	2,125	EV (C\$m)	551.2	409.9	463.9	675.4	978.9
7.5% discount		1,811	1,959	2,108	2,256	2,404	FCF yield (%)	-	-	-	-	-
5.0% discount		2,065	2,232	2,399	2,566	2,733	PER (x)	-	-	-	-	-
Ungeared project IRR:		51%	54%	57%	60%	63%	P/CF (x)	-	-	-	-	-
EV/EBITDA (x)		-	-	-	-	28.8x						
Project NPV (C\$/sh)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Income statement					
10.0% discount		19.3	20.9	22.5	24.1	25.7	CY21A	CY22E	CY23E	CY24E	CY25E	
7.5% discount		21.9	23.7	25.5	27.3	29.1	Net revenue (C\$m)	-	-	-	-	42.9
5.0% discount		25.0	27.0	29.0	31.1	33.1	Gross profit (C\$m)	-	-	-	-	34.8
*Project level NPV, excl finance costs and central SG&A, discounted to build start												
Group valuation over time^		Sep-22	Sep-23	Sep-24	Sep-25	Sep-26	D&A, attrib (C\$m)	0.3	0.1	-	-	5.9
Eskay Creek (C\$m)		1,880	1,977	2,195	2,571	2,827	Admin (C\$m)	22.9	14.8	12.3	9.2	-
Net cash prior qtr (C\$m)		36	214	94	(164)	(339)	Expensed exploration (C\$m)	107.5	43.0	-	-	-
G&A and finance costs (C\$m)		(131)	(106)	(98)	(90)	(52)	Finance cost (C\$m)	(0.2)	(0.1)	-	-	25.9
Cash from options (C\$m)		58	58	58	58	58	Royalty (C\$m)	-	-	-	-	0.8
Snip		64	64	64	64	64	Forex, other (C\$m)	(12.8)	(7.9)	-	-	-
NAV FF FD (C\$m)		1,907	2,206	2,313	2,439	2,558	Taxes (C\$m)	-	-	-	-	4.2
1xNAV5%/sh FF FD (C\$/sh)		23.08^	21.10^	22.12^	23.33^	24.46^	Net income (C\$m)	(117.6)	(49.9)	(12.3)	(9.2)	(2.1)
Geared company NAV diluted for mine build, net G&A and finance costs						Cash flow, attrib.						
3Q22 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	CY21A	CY22E	CY23E	CY24E	CY25E	
10.0% discount		2,109	2,279	2,449	2,619	2,789	EBIT (C\$m)	(117.8)	(50.0)	(12.3)	(9.2)	28.1
7.5% discount		2,232	2,411	2,590	2,768	2,947	Add back D&A (C\$m)	0.3	0.1	-	-	5.9
5.0% discount		2,370	2,558	2,747	2,935	3,124	Less tax + net interest (C\$m)	(0.2)	(0.1)	-	-	30.1
Geared project IRR:		49%	52%	55%	58%	61%	Net change in wkg cap (C\$m)	(10.3)	4.6	-	(1.2)	(11.1)
3Q22 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Add back other non-cash (C\$m)	1.4	(3.1)	-	-	-
10.0% discount		18.61	20.54	22.48	24.43	26.40	Cash flow ops (C\$m)	(126.1)	(48.2)	(12.3)	(10.4)	(7.3)
7.5% discount		20.36	22.40	24.46	26.53	28.61	PP&E - build + sust. (C\$m)	(13.1)	4.8	(35.4)	(179.3)	(296.3)
5.0% discount		22.28	24.46	26.66	28.86	31.07	PP&E - expl'n (C\$m)	(0.5)	(17.5)	-	-	-
^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity						Cash flow inv. (C\$m)						
Production		Y1	Y2	Y3	Y4	Y5	CY21A	CY22E	CY23E	CY24E	CY25E	
Gold production (000oz)		420	361	469	496	493	(13.5)	(12.7)	(35.4)	(179.3)	(296.3)	
C1 cost (US\$/oz)		613	900	724	659	592	Share issue (C\$m)	137.0	65.5	174.4	-	-
AISC cost (US\$/oz)		693	981	856	785	638	Proceeds from sale (C\$m)	5.0	-	-	-	-
AISC = C1 + ug sustaining capex, Y1 = 12M to Mar 2027						Debt draw (repay) (C\$m)						
1200/oz							(1.6)	(0.2)	-	-	432.0	
800/oz							Cash flow fin. (C\$m)	140.5	65.3	174.4	-	432.0
400/oz							Net change in cash (C\$m)	0.8	4.5	126.7	(189.7)	128.5
0/oz							EBITDA (C\$m)	(117.5)	(49.9)	(12.3)	(9.2)	34.0
							Balance sheet	CY21A	CY22E	CY23E	CY24E	CY25E
							Cash (C\$m)	40.3	45.6	172.3	(17.4)	111.2
							Acc rec., inv, prepaid (C\$m)	13.9	7.7	7.7	8.9	7.5
							PP&E + other (C\$m)	100.8	124.4	159.8	339.1	629.4
							Total assets (C\$m)	155.0	177.8	339.9	330.7	748.1
							Debt (C\$m)	1.3	1.2	1.2	1.2	433.2
							Accounts payable (C\$m)	12.5	13.2	13.2	13.2	0.6
							Others (C\$m)	17.6	9.6	9.6	9.6	9.6
							Total liabilities (C\$m)	31.4	24.0	24.0	24.0	443.4
							Sh'hlds equity + wrnts (C\$m)	362.0	449.8	624.2	624.2	624.2
							Retained earn'gs + rsvs (C\$m)	(238.4)	(296.0)	(308.3)	(317.5)	(319.6)
							Liabilities + equity (C\$m)	155.0	177.8	339.9	330.7	748.1

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NEUTRAL: The stock's total returns are expected to be in line with the overall market

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TENDER: The analyst recommends tendering shares to a formal tender offering

UNDER REVIEW: The stock will be placed under review when there is a significant material event with further information pending; and/or when the research analyst determines it is necessary to await adequate information that could potentially lead to a re-evaluation of the rating, target price or forecast; and/or when coverage of a particular security is transferred from one analyst to another to give the new analyst time to reconfirm the rating, target price or forecast.

NOT RATED ((N/R): The stock is not currently rated

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9	The analyst has been reimbursed for travel expenses for a site visit by the issuer	NO

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Summary of Recommendations as of September 2022	
BUY:	50
HOLD:	1
SELL:	0
UNDER REVIEW:	0
TENDER:	0
NOT RATED:	0
TOTAL	51

¹ As at the end of the month immediately preceding the date of issuance of the research report or the end of the second most recent month if the issue date is less than 10 calendar days after the end of the most recent month